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COMMENT LETTER

Financial Crimes Enforcement Network

Office of Foreign Assets Control, U.S. Department of the Treasury

Notice of Proposed Rulemaking: Permitted Payment Stablecoin Issuer Anti-Money Laundering/Countering the Financing of Terrorism Program and Sanctions Compliance Program Requirements

Docket No. FINCEN-2026-0100 · RIN 1506-AB73

May 16, 2026

Comment Period Closes: June 9, 2026

I. Introduction

DDCP Foundation, Inc. (“DDCP Foundation”) is a Wyoming nonprofit corporation that serves as steward of the Decentralized Digital Currency Protocol (“DDCP”) — open-source stablecoin infrastructure. The DDCP protocol architecture constitutes publicly available and accessible executable software designed for deployment to a distributed ledger, as that term is defined in GENIUS Act section 2(9) (12 U.S.C. 5901(9)).

DDUSD, LLC is a Wyoming limited liability company currently in formation as a prospective federal qualified payment stablecoin issuer (“PPSI”). DDUSD is planned to be the first token deployment on the DDCP protocol: a USD-pegged stablecoin designed for global issuance on a permissionless public blockchain. DDUSD is designed with self-custody as the default wallet model, reproducing in the digital realm the privacy properties that physical cash carries under existing law — a design choice affirmatively promoted by Executive Order 14178’s direction to develop lawful and legitimate dollar-backed stablecoins worldwide. DDUSD, LLC intends to file a formal PPSI application with the OCC.

The DDCP Reserve Management Foundation (“RMF”) is a Swiss-domiciled nonprofit foundation currently in formation that will serve as third-party reserve manager for DDUSD, LLC under GENIUS Act section 4(a)(7)(A)(iii). The RMF will not issue payment stablecoins and will maintain no commercial relationship with end users.

This comment is submitted as a pre-application engagement document in public comment form. DDCP Foundation filed a comment in the OCC's GENIUS Act NPRM proceeding (Docket OCC-2025-0372) on May 1, 2026 (Comment ID OCC-2025-0372-0257, the "OCC Comment"), and a supplementary submission on May 16, 2026 (the "OCC Supplementary Comment"), further developing the reasonable particularity analysis, the statutory scope framing of GENIUS Act section 4(a)(6)(B), and the architectural pluralism argument. The positions advanced here are fully consistent with and extend the positions on both OCC records. We respectfully request that this comment be read in conjunction with both OCC filings. Its purpose is to establish on the rulemaking record that DDCP's architecture and three-entity structure are consistent with the requirements of the GENIUS Act and the proposed rule's framework — so that FinCEN and OFAC can address these interpretive questions in the final rule or accompanying preamble, enabling DDUSD, LLC to file its PPSI application on an established regulatory footing.

DDCP Foundation notes that the primary/secondary market distinction advanced in this comment is consistent with positions taken by multiple commenters in the September 2025 ANPRM proceeding, as FinCEN noted in this NPRM's preamble.

This comment advances four arguments:

Entity separation: DDCP Foundation as protocol steward falls within the GENIUS Act's express DASP exclusions; DDUSD, LLC as issuer will be the sole entity bearing PPSI obligations under proposed Part 1033 and Part 502; the RMF as third-party reserve manager will bear none.

Compliance capability under proposed §1033.240: DDUSD, LLC will possess the technological capability to block, freeze, burn, and prevent the transfer of payment stablecoins as required by the GENIUS Act, through issuance and redemption co-signature authority and Financial Intermediary (FI) layer coordination, for primary market activity and for tokens held at Financial Intermediary layer entities. Proposed §1033.240(b)'s extension to "accounts not with or controlled by a permitted payment stablecoin issuer" should be read, consistent with FinCEN's own proposed account definition for PPSIs at §1010.230(c), as referring to custodial accounts at Financial Intermediary layer entities — not to self-custody wallet addresses. The compliance capability question for self-custody wallet addresses is addressed in this comment, Section III.E, and will be further addressed through the OCC pre-application engagement process.

AML/CFT program requirements: DDUSD, LLC will support the risk-based AML/CFT program framework proposed in §1033.210, and endorses FinCEN's proposal to apply a $5,000 SAR monetary threshold to PPSIs and FinCEN's preliminary determination that PPSIs should not be required to file SARs on secondary market transactions. DDUSD, LLC will comply with applicable CTR and Travel Rule obligations.

OFAC sanctions compliance under proposed Part 502: DDUSD, LLC as a US-formed entity will maintain an effective OFAC sanctions compliance program. For primary market activity, DDUSD, LLC's issuance co-signature authority and SDN screening will provide the blocking mechanism. For secondary market activity involving Financial Intermediary layer entities subject to U.S. AML/CFT obligations, those entities' own OFAC obligations as US persons will provide the compliance layer. DDUSD, LLC will address the secondary market compliance question for other populations through the OCC pre-application engagement process.

II. The Act's Definitions Place DDCP Foundation, DDUSD, LLC, and the RMF in Three Legally Distinct Regulatory Categories

The GENIUS Act's definitions place the three DDCP entities into three legally distinct regulatory categories: (i) DDCP Foundation and the DDCP validator network, which are expressly excluded from the DASP definition and will bear no PPSI or DASP obligations; (ii) DDUSD, LLC, which will be the sole PPSI bearing all compliance obligations under proposed Part 1033 and Part 502; and (iii) the RMF, which will serve as third-party reserve manager and will bear no PPSI or DASP obligations. Each entity's regulatory classification is governed by the Act's own definitional structure.

A. DDCP Foundation and the Protocol: Expressly Outside the DASP Definition

GENIUS Act section 2(7)(B) explicitly excludes from the definition of "digital asset service provider":

> (i) a distributed ledger protocol;
>
> (ii) developing, operating, or engaging in the business of developing distributed ledger protocols or self-custodial software interfaces; and
>
> (iv) developing, operating, or engaging in the business of validating transactions or operating a distributed ledger.

GENIUS Act section 2(9) defines "distributed ledger protocol" as "publicly available and accessible executable software deployed to a distributed ledger, including smart contracts or networks of smart contracts." The DDCP protocol architecture constitutes a distributed ledger protocol within this definition, inclusive of its constituent smart contracts. Within the Act's definitional framework, the DDCP protocol and its constituent smart contracts receive identical treatment under the DASP exclusions. This comment uses "protocol" consistently to refer to the DDCP system as a whole, except where a quoted source uses "smart contract" specifically. DDCP Foundation's role as protocol steward is GENIUS Act section 2(7)(B)(ii) activity. Both DDCP Foundation and the protocol are excluded from the DASP definition by the Act's own text.

The DDCP validator network — a globally distributed set of nodes performing transaction validation under the DDCP protocol's consensus rules across politically adversarial jurisdictions — engages in GENIUS Act section 2(7)(B)(iv) activity: validating transactions and operating a distributed ledger. The validator network is not a legal entity and cannot bear PPSI or DASP obligations as such. Individual validators, in their capacity as transaction validators operating distributed ledger infrastructure, engage exclusively in GENIUS Act section 2(7)(B)(iv) activity and are excluded from the DASP definition on that basis.

B. DDUSD, LLC as the Issuer: The Sole Entity That Will Bear All PPSI Compliance Obligations

DDUSD, LLC will be the PPSI: the entity that will issue DDUSD tokens, hold reserve assets, and bear all compliance obligations under proposed Part 1033 and Part 502. DDUSD, LLC will hold issuance and redemption co-signature authority over the DDUSD token contract and will maintain operational relationships with Financial Intermediary (FI) layer entities participating in primary market channels, which will constitute the enforcement-capable compliance layer at the fiat boundary. All PPSI obligations under the proposed rule will run to DDUSD, LLC as the issuer.

C. The RMF as Third-Party Reserve Manager

The DDCP Reserve Management Foundation is a Swiss-domiciled nonprofit in formation that will serve as third-party reserve manager for DDUSD, LLC under GENIUS Act section 4(a)(7)(A)(iii). The RMF will custody reserve assets — government securities and cash equivalents — not payment stablecoins. GENIUS Act section 2(7)(A) includes “providing custodial services for payment stablecoins” as DASP activity; because the RMF will custody reserve assets and not payment stablecoins, that provision does not apply to the RMF. The RMF will issue no payment stablecoins, will hold no commercial relationship with end users, and will bear no Part 1033 or Part 502 obligations.

D. PPSI and DASP Non-Applicability — Consolidated Closure

None of DDCP Foundation, the DDCP protocol, the DDCP validator network, or the RMF will be a PPSI under GENIUS Act section 2(23). DDCP Foundation does not issue payment stablecoins; it serves as protocol steward only. The DDCP protocol is a software architecture — it is not a legal entity and cannot bear regulatory obligations as an issuer. The validator network performs transaction validation only; it does not issue, redeem, or hold payment stablecoins. The RMF will serve as third-party reserve manager only, as addressed in this comment, Section II.C. No Part 1033 or Part 502 obligation will attach to any of these entities. The sole entity bearing PPSI compliance obligations under proposed Part 1033 and Part 502 is DDUSD, LLC.

III. Proposed §1033.240 — Compliance Capability for Blocking, Freezing, Burning, Preventing Transfer, and Lawful Orders

FinCEN and OFAC define "primary market" to mean a PPSI interacting directly with a user or holder, such as when engaging in issuing, converting, redeeming, or burning payment stablecoins, involving "a relationship or direct interaction beyond the involvement of a PPSI's smart contract" (NPRM Section IV.C). "Secondary market" refers to payment stablecoin activity that does not directly involve the PPSI as a party to the transaction other than via a smart contract, including person-to-person transactions and transactions from self-hosted wallets (NPRM Section IV.C). DDCP Foundation uses these definitions as stated by FinCEN and OFAC throughout this comment.

For purposes of this comment, "Financial Intermediaries" or the "Financial Intermediary (FI) layer" refers to digital asset service providers under GENIUS Act section 2(7)(A) that hold KYC/KYB identity records and maintain fiat or digital asset account relationships with end users. The secondary market is served by three distinct populations, each presenting a different compliance profile:

Subcategory (a) — Financial Intermediaries subject to U.S. AML/CFT obligations: licensed exchanges, on/off-ramp operators, and custodial wallet providers registered as money services businesses or otherwise subject to BSA/AML requirements, as described in the NPRM preamble as “financial institutions, such as a digital asset exchange, that are subject to U.S. anti-money laundering and countering the financing of terrorism (AML/CFT) obligations” (NPRM Section IV.D). This subcategory includes both U.S.-chartered entities and foreign entities that are nonetheless subject to U.S. AML/CFT obligations. These entities hold KYC/KYB records, file SARs, and implement Travel Rule compliance independently under their own U.S. AML/CFT compliance obligations.

Subcategory (b) — Financial Intermediaries in jurisdictions with inadequate AML/CFT obligations: foreign exchanges identified separately in FinCEN’s illicit finance analysis (NPRM Section IV.D) as a secondary market risk population. These entities are not subject to U.S. BSA/AML requirements and do not hold KYC/KYB records in a framework that creates independent compliance obligations toward U.S. law enforcement. DDUSD, LLC’s compliance posture toward this population will rely on contractual restrictions in primary market agreements prohibiting facilitation of transfers to non-compliant foreign exchanges, OFAC’s own designation and enforcement authority against non-compliant foreign exchanges (the Garantex redesignation illustrates this mechanism functioning effectively), and blockchain analytics as a monitoring layer.

Subcategory (c) — Self-hosted wallets and peer-to-peer transactions: secondary market activity in which DDUSD tokens transfer directly between self-custody wallet holders without involvement of any Financial Intermediary layer entity, as described in NPRM Section IV.C. This population has no formal account relationship with DDUSD, LLC or any FI-layer entity. The compliance capability question for this population is addressed in this comment, Sections III.B through III.E, and will be further addressed through the OCC pre-application engagement process.

FinCEN's illicit finance analysis (NPRM Section IV.D) distinguishes these populations by the compliance tools available to reach them. FinCEN's own cited enforcement cases — the $225 million USDT civil forfeiture, the Hamas wallet actions, the Garantex redesignation, the DPRK IT worker seizures — were achieved through judicial process, OFAC designation, blockchain analytics, and Financial Intermediary cooperation. This enforcement record validates the compliance model DDUSD, LLC proposes for subcategory (a) and, through OFAC designation authority, for subcategory (b). The compliance treatment for subcategory (c) is developed in this comment, Sections III.B through III.E.

A. DDUSD, LLC Will Possess the Required Compliance Capability

FinCEN notes that §1033.240 is "a novel requirement that does not currently apply to other types of financial institutions" (NPRM Section XII.A.3.iii.b) and that the proposed rule "neither prescribes how PPSIs should implement the technical capability requirement nor the policies and procedures that are specifically required to meet the proposed obligation," providing PPSIs "the flexibility to use various methods to meet the proposed obligation."

DDUSD, LLC's compliance architecture will exercise this flexibility through two mechanisms.

Issuance and Redemption Co-Signature Authority. DDUSD, LLC will hold co-signature authority over all primary market activity: any new issuance of DDUSD tokens and any redemption of DDUSD tokens through primary market channels will require DDUSD, LLC's co-signature to execute. When a lawful order directed to block, freeze, or reject impermissible transactions is received, and the person who is the subject of that order is identified either through DDUSD, LLC's own KYC/KYB records (for persons maintaining a direct relationship with DDUSD, LLC) or through the KYC/KYB records of a Financial Intermediary layer entity:

(i) DDUSD, LLC will refuse its co-signature for any new issuance of DDUSD to or for the benefit of that person;

(ii) DDUSD, LLC will refuse to co-sign redemptions presented by or on behalf of that person; and

(iii) for tokens held in custodial relationships at Financial Intermediary entities, DDUSD, LLC will execute a burn — reducing outstanding issuance value (“OIV”) with an on-chain auditable record — when those tokens are presented by the Financial Intermediary acting under a lawful order directed at an identified person.

FinCEN has confirmed that burn “can be effected through different tactics”; DDUSD, LLC’s co-signature burn mechanism will provide permanent OIV reduction consistent with the compliance framework Circle described to the OCC in its comment on Docket OCC-2025-0372.

Financial Intermediary Layer Coordination. Subcategory (a) Financial Intermediary layer entities are independently subject to BSA/AML obligations as money services businesses or other regulated financial institutions, and are themselves subject to OFAC sanctions obligations in their capacity as regulated participants in the U.S. financial system. These entities hold the account-level relationships and KYC/KYB identity records through which law enforcement can reach identified persons directly. DDUSD, LLC’s coordination role will be additive to these independent obligations: through the operational and commercial relationships that will govern Financial Intermediary access to DDUSD primary market channels, DDUSD, LLC will direct those entities to restrict access by specified persons at the fiat boundary. Subcategory (b) entities do not independently bear U.S. BSA/AML obligations; the compliance mechanisms for that population are the contractual restrictions in primary market agreements, OFAC designation authority against non-compliant foreign exchanges, and blockchain analytics monitoring described in subcategory (b) above.

B. The “Accounts” Definition: Proposed §1033.240(b) Should Be Read Consistent with §1010.230(c)

Two distinct questions are relevant to §1033.240(b)’s application to self-custody wallet activity. The first is whether subcategory (c) activity — person-to-person transactions and transactions from self-hosted wallets —

falls within the proposed rule's secondary market scope. NPRM Section IV.C answers that question affirmatively, and DDCP Foundation does not dispute it. The second is whether self-custody wallet addresses satisfy the "accounts" standard in the lawful order definition. These are materially different questions. GENIUS Act section 2(16)(B) requires a lawful order to specify accounts with reasonable particularity. A self-custody wallet address, absent any formal customer relationship with the issuer, does not satisfy that standard. The argument in this comment, Section III.B, addresses the second question only.

Proposed §1033.240(b) extends the lawful order compliance obligation to "lawful orders requiring an issuer to comply with terms regarding an issuer's payment stablecoins held by a third party, including in an account not with or controlled by a permitted payment stablecoin issuer." FinCEN has proposed not to define "account" in the lawful order context (proposed §1010.100(rrr)), but has proposed account definitions for PPSIs elsewhere in the same regulatory package. Proposed §1010.230(c) defines "account" for PPSIs as "a formal relationship between a customer and a permitted payment stablecoin issuer established to provide or engage in services, dealings, or other financial transactions." Proposed §1010.605(c)(2)(v) defines "account" for PPSIs for correspondent account purposes as "any formal relationship established by a permitted payment stablecoin issuer to provide regular services, dealings, and other financial transactions." Both definitions require a formal customer relationship with the PPSI.

A self-custody wallet address has no formal relationship with DDUSD, LLC. Reading §1033.240(b)'s extension to "accounts not with or controlled by a permitted payment stablecoin issuer" consistently with FinCEN's own proposed account definitions leads to a single conclusion: that extension reaches custodial accounts held at Financial Intermediary layer entities — where formal customer relationships exist — not self-custody wallet addresses.

We respectfully request that the preamble to the final rule confirm that "accounts not with or controlled by a permitted payment stablecoin issuer" in proposed §1033.240(b) refers to custodial accounts at Financial Intermediary layer entities, consistent with proposed §1010.230(c), and does not extend the lawful order compliance obligation to self-custody wallet addresses.

C. Why the Statute's Reasonable Particularity Standard Supports This Reading — Both Prongs

GENIUS Act section 2(16)(B) requires that any lawful order "specif[y] the payment stablecoins or accounts subject to blocking with reasonable particularity." As a matter of statutory construction, "with reasonable particularity" modifies the full compound object — both "payment stablecoins" and "accounts." Under ordinary grammatical construction, a trailing modifier applies to the entire preceding compound noun phrase. There is no policy rationale for requiring particularity when specifying accounts but permitting vagueness when specifying payment stablecoins; Congress would not have engineered a protection that applies to one but not the other. The reasonable particularity standard therefore applies to both prongs, and the analysis below addresses both.

On the "accounts" prong: as developed in this comment, Section III.B, a self-custody wallet address is not an "account" under FinCEN's own proposed definitions at §1010.230(c) and §1010.605(c)(2)(v), both of which require a formal customer relationship with the PPSI. An order specifying only a blockchain address cannot achieve the reasonable particularity the statute requires for the accounts prong.

On the "payment stablecoins" prong: DDUSD tokens are fungible — there is no intrinsic property distinguishing one DDUSD token from another. For the subcategory (c) population with no KYC/KYB record at DDUSD, LLC or any Financial Intermediary, specifying "the payment stablecoins subject to blocking" with reasonable particularity requires, as a predicate step, knowing which addresses the target person controls. That person-to-address mapping cannot be established without identity records. For this population, reasonable particularity cannot be achieved under the payment stablecoins prong without FI-layer identity records.

There is an important scenario where the payment stablecoins prong can be satisfied without FI-layer identity records: where on-chain analytics independently traces proceeds from a designated entity to a specific self-custody wallet address. DDCP Foundation acknowledges this scenario honestly. DDUSD, LLC’s compliance architecture does not include a protocol-level mechanism to freeze already-issued tokens at an analytics-identified self-custody address. This gap is addressed through the EO 14178 argument in this comment, Section III.D, and through the pre-application engagement process. The OCC Supplementary Comment (Docket OCC-2025-0372, filed May 16, 2026, Sections II and IV) places both prongs of this analysis and the architectural pluralism argument on the OCC rulemaking record.

In both scenarios, two reinforcing problems defeat address-level specification as a means of satisfying reasonable particularity.

The blast radius problem. A protocol-level override function that operates on wallet addresses cannot limit its own effect to the tokens and persons specified in the order. The March 2026 episode in which sixteen wallet addresses not named in a civil court order were frozen alongside the target address illustrates the consequence: persons with no connection to the underlying proceeding were affected by a function that could not distinguish between the named target and unrelated users of shared infrastructure.

The downstream recipient problem. DDUSD tokens that pass from an address associated with a designated entity to a subsequent wallet — in an ordinary commercial transaction, an exchange, or any arm’s-length transfer — are fungible and indistinguishable from any other DDUSD tokens. A protocol-level freeze capability applied to the downstream wallet would affect a recipient who may have received those tokens in good faith for legitimate value, with no knowledge of their prior history. OFAC’s own enforcement guidelines and consistent enforcement practice recognize the bona fide purchaser principle: receipt of blocked funds in good faith, for legitimate value, and without knowledge of their origin does not expose the innocent recipient to liability. Protocol-level address blocking cannot implement this distinction — it cannot differentiate between a designated person’s own wallet and the wallet of a merchant who accepted DDUSD as payment for goods or services. The degrees-of-separation problem compounds with each subsequent transfer: a freeze capability traceable through multiple intermediate hops to designated funds produces a blast radius that is technically unlimited and legally problematic. The compliance mechanism that preserves the bona fide purchaser principle is one that operates against identified persons through judicial process, not against blockchain addresses through administrative action.

A capability that cannot be limited to the specific payment stablecoins or accounts identified in the order — and that therefore cannot satisfy the statute's own reasonable particularity requirement — does not satisfy proposed §1033.240(b) by its own terms.

D. Executive Order 14178 as an Interpretive Constraint

Executive Order 14178 (January 23, 2025) directed the promotion of "lawful and legitimate dollar-backed stablecoins worldwide" and prohibited CBDCs on the ground that they "threaten the stability of the financial system, individual privacy, and the sovereignty of the United States." The operative distinction EO 14178 draws is architectural: a CBDC creates a standing governmental lever over payment flows — a persistent capability to intervene in any transaction on the network. A dollar-backed stablecoin operating on an open public blockchain, with self-custody as the default wallet model, does not. EO 14178's promotion of this architecture reflects the same principle that physical cash carries under existing law: citizens may hold and transfer money without surveillance or administrative seizure capability, preserving the privacy properties that societies governed by the rule of law have historically protected. Reading the GENIUS Act to require protocol-level override capability would produce a standing override capability over all self-custody wallet transactions as a permanent architectural feature — precisely the CBDC-like property EO 14178 was designed to prevent. Where the statute presents genuine ambiguity, EO 14178's policy direction is a relevant interpretive consideration that supports the reading advanced in this comment.

GENIUS Act section 4(a)(6)(B) establishes an ongoing obligation: a PPSI may issue payment stablecoins only if it "has the technological capability to comply, and will comply, with any lawful order." DDUSD, LLC will satisfy this ongoing obligation. The scope of compliance capability required is defined by the orders that can lawfully be issued. A lawful order under GENIUS Act section 2(16)(B) must specify the payment stablecoins or accounts subject to blocking with reasonable particularity. For the population of payment stablecoins and accounts reachable through DDUSD, LLC's co-signature authority and FI-layer coordination — primary market transactions, tokens held at subcategory (a) FI-layer custodial accounts, and persons identified through KYC/KYB records — DDUSD, LLC will possess full and ongoing compliance capability. For self-custody wallet addresses where no customer relationship, no KYC/KYB record, and no formal account exists, the scope of DDUSD, LLC's compliance obligation under section 4(a)(6)(B) tracks the scope of what a properly issued lawful order — meeting the statute's own reasonable particularity requirement — can require of it as issuer. DDUSD, LLC will comply with every lawful order that can be directed to it with the particularity the statute requires.

The self-custody wallet compliance gap acknowledged in this comment, Section III.C, represents the same policy tradeoff society has historically accepted with physical cash: law enforcement can trace and identify crime proceeds analytically, but cannot freeze cash in private possession without physical seizure and judicial process. The policy case for accepting this tradeoff in the digital stablecoin context rests on a well-documented substitution dynamic in financial sanctions enforcement. The causal chain is direct: sophisticated illicit actors select payment infrastructure based on surveillance and seizure risk; a US-compliant PPSI with protocol-level freeze capability carries higher seizure risk for held tokens than a non-US or non-compliant token; the actors most capable of substituting — organized sanctions evaders, ransomware operators, state-sponsored actors — are by definition operationally sophisticated; the actors least capable of substituting remain and are already reachable through FI-layer compliance without requiring protocol-level capability; and the enforcement actions FinCEN's own preamble cites as evidence of effective enforcement against sophisticated actors — Garantex, Hamas wallets, DPRK IT worker seizures — relied on OFAC designations, blockchain analytics, and FI-layer cooperation, none of which required the token issuer to maintain protocol-level freeze capability. Preserving US-compliant PPSIs in the stablecoin ecosystem generates the FI-layer KYC/KYB data, SAR filings, and on-chain traceability that effective enforcement requires. Conditioning US PPSI licensing on protocol-level override capability that sophisticated actors will simply route around reduces those inputs without improving enforcement outcomes against the actors the GENIUS Act is designed to reach.

The reading DDCP Foundation advances — that §1033.240(b)'s extension to third-party accounts reaches custodial FI-layer accounts, not self-custody wallet addresses — is consistent with EO 14178's interpretive guidance, consistent with FinCEN's own proposed account definitions, and achieves the enforcement outcomes the GENIUS Act requires for the populations where effective enforcement is operationally achievable.

Some payment stablecoin issuers have implemented protocol-level freeze capability through centralized administrative keys that allow the issuer to unilaterally modify token state at any wallet address, including self-custody wallets — a model FinCEN's own preamble describes as one in which "a stablecoin issuer may be able to prohibit specific wallet addresses from interacting with the stablecoin and its smart contract" (NPRM Section IV.A). The DDCP protocol architecture deliberately does not include such a centralized administrative key, for the reasons developed in this comment, Section III.D: a centralized administrative key with unilateral freeze authority over all wallet addresses produces the standing governmental override capability across the issuer's entire network that EO 14178 was designed to prevent, and a compliance function that operates on addresses rather than identified persons cannot satisfy the statute's own reasonable particularity requirement, as developed in this comment, Section III.C. The compliance flexibility FinCEN acknowledges in the NPRM preamble — that the proposed rule "neither prescribes how PPSIs should implement the technical capability requirement" — was written against the background of the centralized administrative key model and exists precisely to accommodate issuers whose architecture achieves compliance through alternative mechanisms. A statutory reading that mandates the centralized administrative key model as the only permissible compliance architecture would eliminate architectural competition in the U.S. payment stablecoin market, concentrate a standing override capability across all U.S.-licensed stablecoins in a small number of issuers reachable by executive action, and produce at scale precisely the structural property EO 14178 was designed to prevent. This architectural pluralism argument is developed in full in the OCC Supplementary Comment (Docket OCC-2025-0372, filed May 16, 2026, Section IV), which places it on the OCC rulemaking record.

An anticipated objection to the EO 14178 argument is that EO 14178 was designed to protect U.S. persons from CBDC-style financial surveillance, and therefore its interpretive constraint should not apply to protocol-level capability nominally directed at non-U.S. holders of DDUSD tokens in self-custody. This objection fails on its own terms. A protocol-level freeze function operates on blockchain addresses, not on the nationality of wallet holders. Blockchain addresses carry no citizenship information. An order to freeze the self-custody wallets of non-U.S. persons implemented through protocol-level address blocking would necessarily reach U.S. persons who share addresses through multisignature arrangements, interact with the same smart contract infrastructure, or receive tokens from affected addresses downstream. The only mechanism capable of distinguishing U.S. persons from non-U.S. persons with any precision is the identity verification that FI-layer KYC/KYB records provide — precisely the mechanism that DDUSD, LLC’s co-signature and FI-layer coordination architecture employs. Protocol-level capability built nominally to reach non-U.S. persons is architecturally indistinguishable from protocol-level capability that reaches U.S. persons: the two cannot be separated without the reasonable particularity mechanism that the statute already requires. EO 14178’s interpretive constraint applies with full force to the capability itself, regardless of the intended target population.

E. In the Alternative: If §1033.240(b) Is Read to Extend to Self-Custody Wallets

If FinCEN and OFAC maintain the proposed §1033.240(b) language and read it as extending the lawful order compliance obligation to self-custody wallet addresses, DDUSD, LLC's primary position — developed in this comment, Sections III.B, III.C, and III.D, and in the OCC Comment (OCC-2025-0372-0257, Section III.D) — is that this reading conflicts with EO 14178's interpretive guidance, FinCEN's own account definitions, and the statute's reasonable particularity requirement. DDUSD, LLC intends to address the self-custody wallet compliance question directly through the OCC pre-application engagement process.

F. Confirmations Requested

We respectfully request that FinCEN and OFAC address the following in the final rule or accompanying preamble:

> Confirm that DDUSD, LLC's issuance and redemption co-signature authority and Financial Intermediary layer coordination satisfy the technical capability requirements of proposed §1033.240(a), consistent with the flexibility acknowledged in the preamble;
>
> Confirm that the same architecture satisfies the "technological capability to comply with the terms of any lawful order" requirement of proposed §1033.240(b) for primary market activity and for tokens held in custodial relationships at subcategory (a) Financial Intermediary layer entities;
>
> Revise or confirm in the preamble that "accounts not with or controlled by a permitted payment stablecoin issuer" in proposed §1033.240(b) refers to custodial accounts at Financial Intermediary layer entities, consistent with proposed §1010.230(c), and does not extend the obligation to self-custody wallet addresses; and
>
> Confirm that a protocol-level override function that cannot satisfy the reasonable particularity requirement — whether under the payment stablecoins prong or the accounts prong of GENIUS Act section 2(16)(B) — is not what the statute requires.

IV. Proposed §1033.210 — AML/CFT Program Requirements

Subcategory (a) Financial Intermediary (FI) layer entities — as defined in this comment, Section III — are the operationally effective compliance layer for secondary market activity involving identified persons. They hold the account-level relationships, KYC/KYB identity records, and transaction monitoring infrastructure necessary to implement blocking, freezing, and SAR obligations with precision at the point where identified persons interact with the regulated financial system.

A. Support for the Risk-Based Framework

DDUSD, LLC will support the risk-based, outcome-focused AML/CFT program framework proposed in §1033.210. Applying program obligations calibrated to DDUSD, LLC's primary market activities — where it will hold direct counterparty relationships and operational compliance capacity — is the appropriate design. The proposed rule's flexibility for PPSIs to "consider innovative approaches to comply with BSA requirements" and to evaluate technological innovation in managing ML/TF risks is consistent with DDUSD, LLC's approach to AML/CFT compliance.

DDUSD, LLC notes the proposed §1033.221(b) safe harbor: a PPSI that has properly established an AML/CFT program in accordance with §1033.210(b) will not be subject to enforcement action absent a significant or systemic failure to implement. DDUSD, LLC will support this outcome-focused enforcement design.

The risk-based framework also reflects sound policy judgment about compliance effectiveness. A US-compliant PPSI operating on a public blockchain will generate FI-layer KYC/KYB data, SAR filings, and Travel Rule records at every point where the token ecosystem touches the regulated financial system. The on-chain transaction record is accessible through industry-standard third-party blockchain analytics tools, providing the traceability layer that law enforcement has consistently relied upon. This combination — on-chain traceability through third-party analytics plus

FI-layer identity records — is precisely what FinCEN's own cited enforcement record demonstrates is effective against sophisticated illicit actors. Calibrating PPSI compliance obligations to primary market activity and FI-layer coordination is not a compliance shortcut — it is the architecture that preserves the enforcement inputs that effective outcomes require, as developed in this comment, Section III.D.

DDUSD, LLC will also comply with beneficial ownership collection requirements for legal entity customers under §1010.230, will respond to 314(a) requests, may participate in 314(b) voluntary information sharing, and will maintain the enhanced due diligence and special measures programs required under §§1033.600-630.

B. AML/CFT Officer — US Location Requirement

DDUSD, LLC acknowledges the requirement in proposed §1033.210(b)(3)(i) that the designated AML/CFT officer be located in the United States and accessible to FinCEN examiners. This requirement will be incorporated in DDUSD, LLC's entity design and personnel planning from formation.

C. Support for the $5,000 SAR Monetary Threshold

DDUSD, LLC, as a prospective PPSI, endorses FinCEN's proposal to apply a $5,000 SAR monetary threshold under proposed §1033.320(a)(2). The GENIUS Act requires PPSIs to maintain customer identification programs under GENIUS Act section 4(a)(5)(A)(ii). The $5,000 threshold is correctly calibrated to the PPSI framework; the historical rationale for the $2,000 MSB threshold does not apply in the PPSI context, as FinCEN's preamble correctly identifies. We respectfully request that the $5,000 threshold be confirmed in the final rule.

D. Affirmative Support for the Secondary Market SAR Exemption

DDUSD, LLC endorses FinCEN's preliminary determination that requiring PPSIs to file SARs on secondary market transactions imposes burden likely exceeding the potential benefit, and supports the proposed §1033.320(g) clarification that a transaction is not "conducted or attempted by, at, or through" a PPSI only because a transfer by third parties results in an interaction with the issuer's smart contract. Secondary market activity consists of post-issuance transfers in which DDUSD, LLC will not be a direct party. Subcategory (a) Financial Intermediary layer entities serving the DDUSD secondary market are independently subject to SAR filing obligations. Requiring DDUSD, LLC to file SARs on secondary market transactions would add no material law enforcement value beyond what FI-layer filings already capture.

E. Currency Transaction Reporting

DDUSD, LLC notes FinCEN's determination in proposed §§1033.310 through 1033.315 that the CTR obligation does not require reporting of transactions in payment stablecoins, because "currency" under §1010.100(m) does not include payment stablecoins. DDUSD, LLC will support this approach as calibrated to the PPSI business model.

Reserve management transactions — fiat wire transfers and electronic funds transfers from primary market participants to reserve custodians, and operator funding through digital channels — involve funds in the electronic transfer sense, not "currency" as defined in §1010.100(m). These transactions will not generate CTR obligations for DDUSD, LLC; any CTR obligation for electronic transfers of US dollars rests with the banking institutions processing those transfers under their own BSA obligations. DDUSD, LLC will maintain CTR compliance for any physical currency exchanges if future business activities encompass such transactions, though such transactions are not anticipated in the DDUSD operating model.

F. Travel Rule and Recordkeeping

DDUSD, LLC will comply with the Recordkeeping Rule and Travel Rule obligations applicable to PPSIs through proposed §§1033.400 and 1033.410. Travel Rule compliance for primary market transactions at or above the $3,000 threshold is straightforward: DDUSD, LLC will hold direct counterparty relationships for primary market activity and will collect, retain, and transmit the required originator and beneficiary information. For subcategory (c) secondary market peer-to-peer transfers involving self-custody wallets, Travel Rule application implicates the same interpretive question addressed in this comment, Section III.E, which DDUSD, LLC intends to address through the OCC pre-application engagement process.

G. Confirmation Requested

We respectfully request that FinCEN confirm: (i) the $5,000 SAR monetary threshold is appropriate for PPSIs subject to customer identification program requirements; (ii) PPSIs are not required to file SARs on secondary market transactions, consistent with proposed §1033.320(g); and (iii) BSA program obligations for secondary market activity are satisfied by subcategory (a) Financial Intermediary layer entities' independent BSA/AML obligations.

V. Proposed 31 CFR Part 502 — OFAC Sanctions Compliance Program

For purposes of this comment, Section V, the three secondary market populations — (a) Financial Intermediaries subject to U.S. AML/CFT obligations, (b) Financial Intermediaries in jurisdictions with inadequate AML/CFT obligations, and (c) self-hosted wallets and peer-to-peer transactions — are as defined in this comment, Section III. The OFAC compliance framework DDUSD, LLC will implement addresses each population through the mechanisms appropriate to it.

A. DDUSD, LLC as a US Person

DDUSD, LLC, as a US-formed entity, will be a US person subject to the full scope of OFAC sanctions obligations from formation. DDCP Foundation submits the following observations on DDUSD, LLC's approach to the proposed Part 502 framework.

B. Primary Market Sanctions Compliance

DDUSD, LLC will implement SDN list screening at primary market onboarding. No issuance or redemption co-signature will be authorized for addresses associated with SDN-listed persons, as identified through DDUSD, LLC's own KYC/KYB screening for primary market participants with direct DDUSD, LLC relationships, and through subcategory (a) Financial Intermediary layer entities' independent SDN screening in their own compliance capacity. DDUSD, LLC will maintain the blocking, rejection, and recordkeeping obligations of proposed Part 502, including timely reporting to OFAC of blocked property and rejected transactions under the RPPR.

C. Secondary Market Sanctions Compliance

The compliance treatment for each secondary market population differs by the available mechanisms:

Subcategory (a) — FIs subject to U.S. AML/CFT obligations: these entities are independently subject to OFAC sanctions obligations as U.S. persons. Exchanges and custodial platforms will apply SDN screening to secondary market accounts under their own sanctions compliance programs. This independent compliance layer covers the secondary market population accessing DDUSD through subcategory (a) channels.

Subcategory (b) — FIs in jurisdictions with inadequate AML/CFT obligations: these entities are not independently subject to U.S. OFAC obligations. DDUSD, LLC's compliance posture for this population relies on OFAC's own designation and enforcement authority against non-compliant foreign exchanges, as demonstrated by the Garantex redesignation, and on contractual restrictions in DDUSD, LLC's primary market agreements prohibiting facilitation of DDUSD transfers to such exchanges.

Subcategory (c) — Self-hosted wallets and peer-to-peer transactions: DDCP Foundation acknowledges that on-chain analytics can independently identify proceeds from a designated entity at a specific self-custody wallet address without establishing the identity of the wallet owner, a scenario where the payment stablecoins prong of GENIUS Act section 2(16)(B)(2) may be satisfied without FI-layer identity records. For tokens identified in this manner and held in self-custody, DDUSD, LLC's compliance architecture does not include a protocol-level mechanism to freeze those tokens. DDUSD, LLC's compliance posture for this scenario operates through the mechanisms described in this comment, Section III.D, and will be addressed through the OCC pre-application engagement process.

For subcategory (c) activity not involving the analytics scenario — ordinary person-to-person transfers between self-custody wallets — the compliance capability question is the same open question addressed in this comment, Section III.E. DDUSD, LLC intends to address it through the OCC pre-application engagement process, consistent with the sequencing established in the OCC Comment.

D. Part 502 Framework — General Support

The five-pillar structure proposed in Part 502 — senior management commitment, risk assessment, internal controls, testing and auditing, and training — is consistent with OFAC's 2019 Compliance Framework and appropriate for the PPSI context. DDUSD, LLC will incorporate Part 502 compliance into its pre-operational planning and will have an effective sanctions compliance program in place prior to commencing primary market activity.

E. Support for the §502.303 "Payment Stablecoin-Related Activity" Definition

DDUSD, LLC, as a prospective PPSI, supports OFAC's proposed §502.303 definition of "payment stablecoin-related activity," which covers all activity involving a payment stablecoin from the time of issuance until removal from circulation, whether on the primary or secondary market. This definition accurately describes the universe of activity involving DDUSD tokens throughout their lifecycle. DDUSD, LLC's compliance mechanism for each category within that universe — primary market activity, subcategory (a) FI-intermediated secondary market activity, subcategory (b) foreign exchange activity, and subcategory (c) self-custody and peer-to-peer activity — is described in this comment, Sections V.B and V.C respectively. The definition's descriptive scope does not predetermine the compliance mechanism applicable to each category; the mechanism is governed by the statute and the proposed rule as interpreted in this comment and the OCC Comment (OCC-2025-0372-0257).

F. Confirmations Requested

We respectfully request that OFAC confirm:

Issuance and redemption co-signature authority and SDN list screening, enabling DDUSD, LLC to refuse primary market activity to persons identified as blocked through DDUSD, LLC's own KYC/KYB processes and subcategory (a) FI-layer entities' independent screening, constitute sufficient technical capability to satisfy the blocking and rejection obligations under proposed Part 502 for primary market activity;

For subcategory (a) secondary market activity involving Financial Intermediary layer entities subject to U.S. AML/CFT obligations, those entities' own OFAC obligations as U.S. persons satisfy the secondary market blocking and rejection obligations applicable to PPSI issuers whose token architecture does not include protocol-level address blocking; and

DDUSD, LLC's sanctions compliance program, incorporating the five pillars of proposed §502.201(b) and addressing all payment stablecoin-related activity as defined in proposed §502.303 through the mechanisms described in this comment, will constitute an effective sanctions compliance program within the meaning of the proposed rule.

VI. Responses to Specific Requests for Comment

NPRM Section IX.B Q7 — Definition of "Accounts" in the Lawful Order Context

FinCEN asks whether it should specify that "accounts" for purposes of lawful orders includes wallet addresses. We respectfully urge FinCEN not to adopt this interpretation and to confirm instead that "accounts" in the lawful order definition means formal customer relationships at regulated financial institutions, consistent with proposed §1010.230(c) and the analysis in this comment, Section III.B. The wallet-address reading would eliminate the reasonable particularity protection Congress embedded in GENIUS Act section 2(16)(B), would expose innocent downstream recipients of fungible tokens to protocol-level asset freezes without notice or judicial process, and would condition PPSI licensing on building a CBDC-like architectural capability inconsistent with EO 14178.

NPRM Section IX.D Q27, Q28, Q30 — Technical Capabilities: Refine, Constrain, Challenges

The analysis in this comment, Section III, constitutes DDCP Foundation's substantive response. On Q27: we respectfully request that the final rule confirm that the flexibility stated in the preamble extends to issuers whose architecture relies on co-signature authority and FI-layer coordination rather than protocol-level address blocking. On Q28: the proposed rule should not be read to require protocol-level address-blocking capability as the exclusive implementation method, as doing so would constrain architectures that achieve the same enforcement outcomes through alternative means while preserving the privacy properties EO 14178 promotes. On Q30: conditioning federal PPSI licensing on protocol-level freeze capability would produce the CBDC-like architectural property EO 14178 was designed to prevent, while driving sophisticated illicit activity toward non-compliant tokens and reducing the enforcement inputs that effective outcomes require.

NPRM Section IX.D Q31, Q32 — Lawful Order Compliance Obligations

The analysis in this comment, Sections III.B through III.E, constitutes DDCP Foundation's response. On Q31: we respectfully request that FinCEN revise the preamble to confirm the account-definition reading in this comment, Section III.B. On Q32: the extension of lawful order obligations to secondary market activity is appropriate for FI-held custodial accounts under subcategory (a); we respectfully request confirmation that this extension reaches custodial FI-layer accounts consistent with the analysis in this comment, Section III.B.

NPRM Section IX.E Q33 — Currency Transaction Reporting

DDUSD, LLC will support FinCEN's determination not to impose CTR obligations on payment stablecoin transactions. DDUSD, LLC will comply with CTR obligations for any physical currency exchanges should future business activities encompass such transactions. Reserve management transactions involving electronic funds transfers are not "currency" transactions for CTR purposes, as addressed in this comment, Section IV.E.

NPRM Section IX.G Q41 — Recordkeeping and Travel Rule

DDUSD, LLC will support the application of the Recordkeeping and Travel Rule to PPSIs. Primary market Travel Rule compliance is operationally achievable. Travel Rule application to subcategory (c) self-custody-to-self-custody transfers implicates the interpretive question addressed in this comment, Section III.E, and will be addressed through OCC pre-application engagement.

NPRM Section IX.J Q50 — Effective Date

DDUSD, LLC will support the proposed 12-month effective date. As an in-formation entity entering the PPSI framework without a predecessor MSB registration, DDUSD, LLC requires this runway to build compliance infrastructure from formation through pre-application engagement and PPSI application. The 12-month window is appropriate, and we respectfully request that it be preserved in the final rule.

NPRM Section X Q4, Q5 — OFAC Technical Controls and Flexibility

The analysis in this comment, Section V, constitutes DDCP Foundation's substantive response. On Q4: for primary market activity, DDUSD, LLC's co-signature authority and SDN screening will provide the blocking mechanism; for subcategory (a) secondary market activity, those entities' own OFAC obligations provide the compliance layer; for subcategory (b) and (c) activity, DDUSD, LLC acknowledges the open questions and will address them through OCC pre-application engagement. On Q5: we respectfully request that OFAC confirm that co-signature authority combined with subcategory (a) FI-layer coordination satisfies the proposed rule's technical capability requirements for primary market activity and FI-intermediated secondary market activity.

VII. Conclusion and Confirmations Requested

DDCP Foundation, Inc. submits this comment as steward of the DDCP open-source protocol infrastructure, on behalf of DDUSD, LLC (in formation) as the prospective PPSI, and on behalf of the DDCP Reserve Management Foundation (in formation) as third-party reserve manager. All positions in this comment are consistent with and extend DDCP Foundation's comment in the OCC proceeding (OCC-2025-0372-0257, filed May 1, 2026).

We respectfully request that FinCEN and OFAC address the following confirmations in the final rule or accompanying preamble:

> **Entity separation:** Confirm that DDCP Foundation as protocol steward falls within the GENIUS Act's express DASP exclusions; that DDUSD, LLC as PPSI issuer will be the sole entity bearing obligations under proposed Part 1033 and Part 502; and that the RMF as third-party reserve manager will bear none.
>
> **Block, freeze, burn, and prevent transfer under §1033.240(a):** Confirm that DDUSD, LLC's issuance and redemption co-signature authority and Financial Intermediary layer coordination will satisfy §1033.240(a)'s technical capability requirements, consistent with the rule's stated flexibility regarding implementation method.
>
> **"Accounts" definition and lawful order compliance under §1033.240(b):** Revise or confirm in the preamble that "accounts not with or controlled by a permitted payment stablecoin issuer" means custodial accounts at subcategory (a) Financial Intermediary layer entities consistent with proposed §1010.230(c); confirm that co-signature authority and FI-layer coordination satisfy §1033.240(b) for primary market activity and FI-held tokens; confirm that the reasonable particularity requirement applies to both the payment stablecoins and accounts prongs of GENIUS Act section 2(16)(B), and that a protocol-level override function that cannot satisfy that standard — including because it cannot protect innocent downstream recipients of fungible tokens — is not what the statute requires.
>
> **AML/CFT program and reporting:** Confirm the $5,000 SAR monetary threshold; confirm that PPSIs are not required to file SARs on secondary market transactions consistent with proposed

§1033.320(g); confirm that BSA program obligations for secondary market activity are satisfied by subcategory (a) Financial Intermediary layer entities' independent obligations.

OFAC Part 502: Confirm that co-signature authority and SDN screening will satisfy primary market blocking obligations under Part 502; confirm that subcategory (a) FI-layer entities' independent OFAC obligations satisfy the secondary market blocking obligation for FI-intermediated secondary market activity; confirm that an effective sanctions compliance program incorporating the five pillars of §502.201(b) and addressing all payment stablecoin-related activity through the mechanisms described in this comment will constitute an effective sanctions compliance program under the GENIUS Act.

DDUSD, LLC intends to submit a formal PPSI application with the OCC and welcomes the opportunity to engage FinCEN and OFAC through appropriate pre-application channels on the questions raised in this letter.

Respectfully submitted,

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